



ENERGEN LIMITED

ABN 40 078 849 055

**Network Pricing Schedule 2006/2007
(Network Use of System Prices)**

To apply on and from 1 July 2006

The network prices set out in this document apply to the ENERGEN Limited area of supply as outlined below.

The Cities of Brisbane, Caloundra, Gold Coast, Ipswich, Logan and Redcliffe, the whole of the Shires of Beaudesert, Caboolture, Kilcoy, Laidley, Maroochy, Noosa, Pine Rivers and Redland, and parts of the Shires of Boonah, Cooloola, Crows Nest, Esk, Gatton, Kilkivan and Tiaro that are supplied from the State transmission grid.

DEFINITIONS OF NETWORK USER GROUPS

To provide the appropriate economic and cost of supply signals and consistent with the Network Pricing Principles Statement approved by the Queensland Competition Authority, there are three groups of network users for whom network prices have been developed, namely:

- **Individually Calculated Customers (ICCs);**
- **Connection Asset Customers (incl Embedded Generators) (CACs);**
- **Standard Asset Customers (SACs).**

The purpose of the three contestable network user groups is to provide individual and direct cost of supply signals to those users who are capable of responding to the signals in the appropriate manner.

SITE SPECIFIC PRICES

Network prices are calculated on a site specific basis for the following network users and are not published in the public domain:

- **Individually Calculated Customer (ICC)** network prices will typically apply for all customers with energy consumption greater than 40 GWh/year, or where a customer's circumstances in a pricing zone mean that the average shared network charge becomes meaningless or distorted. ICC prices are based on actual TUOS charges for the relevant transmission connection point, plus charges associated with the actual shared distribution network utilised for the electricity supply plus connection charges based on actual connection assets utilised. This provides the greatest cost reflectivity for these customers and is feasible since the number of such customers is relatively small. It is also justified by virtue of the shared distribution network assets being designated specifically to meet the requirements of these customers. Where this designation of shared network assets is difficult due to the specific connectivity of the customer, ENERGEN may elect not to apply ICC pricing even though the customer's consumption is greater than 40 GWh/year.

ICC prices for customers with energy consumption lower than 40 GWh per annum could occur where:

- a customer has a dedicated supply system which is quite different and separate from the remainder of the supply network;
- there are only two or three customers in a supply system making average prices inappropriate; or
- inequitable treatment of otherwise comparable customers arising from the 40 GWh cut-off. Selection of these customers will be at the sole discretion of ENERGEN Limited (ENERGEN).

- **Connection Asset Customer (CAC)** network prices will typically apply to non-ICCs with current energy consumption greater than 4 GWh/year and an expectation that that consumption level will be sustained for a reasonable period. These charges are based on average shared network charges plus site specific connection charges based on the actual connection assets utilised. This provides a significant degree of cost reflectivity for this group of customers while recognising the practical difficulties of calculating individual shared network charges for each customer.

CAC prices for customers with energy consumption lower than 4 GWh per annum could occur where:

- a customer has a dedicated supply system which is quite different and separate from the remainder of the supply network; or
- inequitable treatment of otherwise comparable customers arising from the 4 GWh cut-off. Selection of these customers will be at the sole discretion of ENERGEN Limited.

Embedded Generator (EG) network prices for connection and access services will be developed on a similar basis as CACs. This is due to the nature of connections that are typically non-standard and may require additional EG protection system upgrades. If the EG's installation is a net importer of energy and

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uses ENERGEX's network to meet its needs when the generator is not running, the appropriate customer network prices will apply. The EG will receive only a single charge for the connection assets regardless of whether it is importing or exporting.

ENERGEX will provide these site specific network prices directly to the Network Users and their Retailer of Choice.

STANDARD PRICES

Standard network prices will apply to contestable network users with consumption less than 4 GWh per year. **Standard Asset Customer (SAC)** network prices are based on the averages of both the shared network charges and connection charges for the customer group in the particular zone. SAC network prices for the relevant customer groups are published prior to each successive tranche of contestability and every year thereafter.

The following are the Network charge categories available for non site-specific contestable customers:

- **High Voltage Metered Demand** This network charge category is available only to customers who have high voltage metering and take supply at high voltage. This network charge category is NOT available to customers who have non-standard or significant connection assets provided by ENERGEX.
- **Large Demand, Medium Demand, and Small Demand** These network charge categories are available to all standard asset customers. The network charge options are self-selecting, as customers will find an optimum selection based on their load characteristics.
- **Volume Only** This network charge category is available only to contestable customers who since becoming contestable have had a reduction in energy consumption to below 100 MWh per year or whose load profile is such that the increase in the network price under a demand charge will exceed the QCA's side constraint. The application of this network charge is subject to approval by ENERGEX.

On being declared contestable, the Network Customer or its Retailer of Choice will nominate the Network Charge Category applicable to the site from either the Demand Large, Demand Medium, or Demand Small Categories.

ALLOCATION OF TRANSMISSION USE OF SYSTEM COSTS (TUOS)

After the allocation of TUOS to all ICCs, an average TUOS c/kW.h is calculated for the remaining customers.

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STANDARD ASSET CUSTOMER NETWORK PRICES

Outlined below are the SAC network prices.

Distribution Component of Network Prices (DUOS) for Standard Asset Customers (GST Inclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kWh
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	766.37	5.4043	0.1650
DL	Large Demand	FLCL	400	N/A	781.00	5.8333	0.1650
DM	Medium Demand	FLCL	120	600	279.73	6.9487	0.1683
DS	Small Demand	FLCL	20	180	24.64	11.5027	0.1771
SACV	Small Volume	FLCL	N/A	N/A	24.53	N/A	5.0710

Distribution Component of Network Prices (DUOS) for Standard Asset Customers (GST Exclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kWh
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	696.70	4.9130	0.1500
DL	Large Demand	FLCL	400	N/A	710.00	5.3030	0.1500
DM	Medium Demand	FLCL	120	600	254.30	6.3170	0.1530
DS	Small Demand	FLCL	20	180	22.40	10.4570	0.1610
SACV	Volume Only	FLCL	N/A	N/A	22.30	N/A	4.6100

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Transmission Component of Network Prices (TUOS) for Standard Asset Customers (GST Inclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kWh
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	198.77	0.5687	0.7810
DL	Large Demand	FLCL	400	N/A	160.60	0.5423	0.8107
DM	Medium Demand	FLCL	120	600	51.59	0.5346	0.8074
DS	Small Demand	FLCL	20	180	18.81	0.5852	0.7810
SACV	Volume Only	FLCL	N/A	N/A	N/A	N/A	1.0406

Transmission Component of Network Prices (TUOS) for Standard Asset Customers (GST Exclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kWh
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	180.70	0.5170	0.7100
DL	Large Demand	FLCL	400	N/A	146.00	0.4930	0.7370
DM	Medium Demand	FLCL	120	600	46.90	0.4860	0.7340
DS	Small Demand	FLCL	20	180	17.10	0.5320	0.7100
SACV	Volume Only	FLCL	N/A	N/A	N/A	N/A	0.9460

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Network Component of Network Prices (NUOS) for Standard Asset Customers (GST Inclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kWh
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	965.14	5.973	0.9460
DL	Large Demand	FLCL	400	N/A	941.60	6.3756	0.9757
DM	Medium Demand	FLCL	120	600	331.32	7.4833	0.9757
DS	Small Demand	FLCL	20	180	43.45	12.0879	0.9581
SACV	Volume Only	FLCL	N/A	N/A	24.53	N/A	6.1116

Network Component of Network Prices (NUOS) for Standard Asset Customers (GST Exclusive)							
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Minimum Chargeable Demand kW	Maximum Allowable Demand kW	Service Availability Charge \$ per month	Demand Charge \$ per kW per month	Volume Charge Cents per kWh
DH1	HV Demand with Distributor owned assets	N/A	Site Specific Prices				
DH2	High voltage Demand	FLCL	200	N/A	877.40	5.4300	0.8600
DL	Large Demand	FLCL	400	N/A	856.00	5.7960	0.8870
DM	Medium Demand	FLCL	120	600	301.20	6.803	0.8870
DS	Small Demand	FLCL	20	180	39.50	10.9890	0.8710
SACV	Volume Only	FLCL	N/A	N/A	22.30	N/A	5.5560

Notes on Network Prices (Standard Asset Customers)

1. Demand and/or Volume are to be measured at each individual network metering point.
2. Minimum Chargeable Demand will be applied for each month where the monthly maximum demand fails to exceed this value.
3. The Volume Only network price is available only to those contestable customers who since entering the market have had a reduction in annual energy consumption to below 100 000 kW.h per year or where a customer's load profile is such that the annual increase in network price under a demand charge will exceed the QCA's side constraint.. This price is subject to annual review and may not be offered if an alternative network price is made available.
4. N/A – Not applicable.

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CONNECTION ASSET CUSTOMER NETWORK PRICES

Outlined below are the network prices for Connection Asset Customers.

Distribution Component of Network Prices (DUOS) for Connection Asset Customers (GST Inclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kWh
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.3982	0.9658	0.1166
CAC11B	11kV Bus	N/A	Site Specific	0.8778	1.9118	0.1397
CAC11L	11kV Line	N/A	Site Specific	1.5928	3.2989	0.1628

Distribution Component of Network Prices (DUOS) for Connection Asset Customers (GST Exclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kWh
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.3620	0.8780	0.1060
CAC11B	11kV Bus	N/A	Site Specific	0.7980	1.7380	0.1270
CAC11L	11kV Line	N/A	Site Specific	1.4480	2.9990	0.1480

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Transmission Component of Network Prices (TUOS) for Connection Asset Customers (GST Inclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kWh
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.2299	N/A	0.4158
CAC11B	11kV Bus	N/A	Site Specific	0.4092	N/A	0.4158
CAC11L	11kV Line	N/A	Site Specific	0.4081	N/A	0.4158

Transmission Component of Network Prices (TUOS) for Connection Asset Customers (GST Exclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kWh
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.2090	N/A	0.3780
CAC11B	11kV Bus	N/A	Site Specific	0.3720	N/A	0.3780
CAC11L	11kV Line	N/A	Site Specific	0.3710	N/A	0.3780

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Network Component of Network Prices (NUOS) for Connection Asset Customers (GST Inclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kWh
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.6281	0.9658	0.5324
CAC11B	11kV Bus	N/A	Site Specific	1.2870	1.9118	0.5555
CAC11L	11kV Line	N/A	Site Specific	2.0009	3.2989	0.5786

Network Component of Network Prices (NUOS) for Connection Asset Customers (GST Exclusive)						
Network Charge Category	Network Charge Description	Default Distribution Loss Factor	Fixed Charge \$ per month	Capacity Charge \$ per kW per month	Actual Demand Charge \$ per kW per month	Volume Charge Cents per kWh
CAC110	110kV Bus	N/A	Site Specific	POA	POA	POA
CAC33	33kV Bus	N/A	Site Specific	0.5710	0.8780	0.4840
CAC11B	11kV Bus	N/A	Site Specific	1.1700	1.7380	0.5050
CAC11L	11kV Line	N/A	Site Specific	1.8190	2.9990	0.5260

Notes on Table of Network Prices (Connection Asset Customers)

1. Demand and/or Volume are to be measured at the relevant metering point.
2. The Fixed Charge is dependent upon the assets dedicated to the customer and therefore is site specific.
3. The site-specific component of network prices for Connection Asset Customers are calculated on a site-specific basis and are not published in the public domain. ENERGEX Limited will provide the network prices to the Network Users and their Retailer of Choice.
4. N/A – Not applicable.
5. POA – Price on Application

CONTRACTUAL PROVISIONS ASSOCIATED WITH NETWORK PRICES

The following contractual provisions apply in relation to the application of network prices set out in this Network Price schedule:

Standard Asset Customers

1. The network prices applied by Retailers will be subject to review in line with the following provisions:
 - ENERGEX may review the network charge category selected by the Customer or their Retailer of Choice a few months after the customer enters the market.
 - ENERGEX must give the customer at least one month's notice of a proposed change in their network charge category.
 - The Customer or Retailer of Choice may elect to review the applied network charge category three months after entering the contestable market.
 - The customer shall only be able to request that their network charge category be changed once in any twelve month period at no cost, unless there has been a substantial step load change.
 - Changes in the network charge category will only proceed upon approval by ENERGEX Limited.
 - Any change of network charge category will take effect from the commencement of the next billing period.
2. Customers who exceed the maximum allowable demand applicable to their network charge category may, at the discretion of ENERGEX, be requested to modify their demand activity or be assigned the appropriate network charge category.

All Contestable Customers

1. Where ENERGEX's load control relays and associated metering exist, they may not be disconnected without ENERGEX's prior written consent.
2. Where applicable, service availability and demand charges will be calculated on a pro rata daily basis for initial and final accounts.
3. Network Customers or their Retailer of Choice will be billed on a monthly basis. Under 6.16.4 of the National Electricity Rules, customers or their Retailer of Choice must pay ENERGEX Limited network charges by the due date specified in the bill.

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ENERGEX 2006/2007 DISTRIBUTION LOSS FACTORS GUIDELINES FOR NON-ICC CUSTOMERS

Note that this is a summary of ENERGEX's Distribution Loss Factor information, please refer to the NEMMCO website for further detail (www.nemmco.com) or contact ENERGEX Limited

DESCRIPTION	NEMMCO CODE	DLF
132/110 Kv	FSSS	1.0050
33 kV	F3CL	1.0181
11 kV Bus	F1ZH	1.0235
11 kV Line	F1CH	1.0381
Low Voltage Bus	F1CL	1.0503
Low Voltage Line	FLCL	1.0860

Notes on Distribution Loss Factors

The Distribution Loss factors presented in the above table do not apply to Individually Calculated Customers.

What is a Distribution Loss Factor?

The Distribution Loss Factor (DLF) is used to convert the customer's actual metered energy into the equivalent energy passing through the appropriate transmission network connection point (TNCP) by allowing for the distribution network losses that the customer's energy usage causes between their meter and the transmission network connection point.

The appropriate DLF and the applicable Transmission Loss Factor are to be applied to the metered consumption for retail billing and market settlement purposes.

Every contestable customer must have a DLF. The appropriate DLF is associated with the location of their metering point.

The Distribution Loss Factors in this schedule are as defined by clause 3.6.3(d)(1) of the National Electricity Rules.

DLF Categories:

132/110 kV	Applicable to all 132/110kV bus and line customers.
33 kV	Applicable to all 33kV bus and line customers.
11kV Bus	Applicable to bus connection points that are HV metered at a voltage less than 30kV and greater than 1,000 volts.
11kV Line	Applicable to line connection points that are HV metered at a voltage less than 30kV and greater than 1,000 volts.
Low Voltage Bus	Applicable to bus connection points that are LV metered at a voltage lower than 1,000 volts.
Low Voltage Line	Applicable to line connection points that are LV metered at a voltage lower than 1,000 volts.

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DLF Definitions:

132/110 kV	The 132/110 kV DLF will apply to all customers who are metered at 132 kV or 110 kV.
33 kV	The 33 kV DLF will apply to all customers who are metered at 33 kV.
11kV Bus	If customers believe that they qualify for an 11 kV Bus DLF rather than an 11 kV Line DLF they should submit details justifying their claim to ENERGEX. As an example, customers who are supplied from a Zone Substation by dedicated 11 kV lines and are metered at or immediately adjacent to the Zone Substation would be eligible for a 11 kV Bus DLF. Zone Substations are defined as Substations where the voltage level is stepped down from a voltage greater than 30kV.
11kV Line	The 11kV Line DLF will apply to all customers who are connected to high voltage distribution lines and are metered at the same voltage as the line is energised.
LV Bus	Customers who are supplied from a distribution substation on their site (owned or leased) and are metered at the low voltage level are eligible for a LV Bus DLF.
LV Line	All customers not covered by any of the above categories

DLF Application Rules:

1. The DLF's in this network pricing schedule do NOT apply to ICCs.
2. The Network Customer or Retailer of Choice (ROC) may select an alternative DLF for their connection if the default DLF is inappropriate. The Network Customer or ROC will be required to justify their selected DLF.
3. The DLF's will be reviewed and published on a periodic basis in line with the requirements of the National Electricity Rules.
4. Where the voltage at the metering point is not listed, or there is doubt about the application of these rules, please request further advice from ENERGEX.

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ENERGEX 2006/2007 NETWORK PRICES FOR FRANCHISE CUSTOMERS

The following table lists the network prices approved by the Authority for franchise customers excluding site specific CACs.

2006-07 Network Prices for Franchise Customers (Excluding GST)			
Customer Class	Charge Component	Fixed (\$/month)	Volume (c/kWh)
LV Energy (>35kVA)	DUOS	\$ 22.40	3.2459
	TUOS	\$ 17.10	0.8665
	NUOS	\$ 39.50	4.1124
LV Energy (11-35kVA)	DUOS	\$ 12.72	4.4540
	TUOS	\$ 3.55	0.7570
	NUOS	\$ 16.27	5.2110
LV Energy (0-10kVA)	DUOS	\$ 4.68	3.8850
	TUOS	\$ 0.77	0.7570
	NUOS	\$ 5.45	4.6420
LV Energy Controlled Load 1 (Applicable to Franchise Tariff 31)	DUOS	\$ 2.84	0.1480
	TUOS	\$ 0.44	0.5900
	NUOS	\$ 3.28	0.7380
LV Energy Controlled Load 2 (Applicable to Franchise Tariff 33)	DUOS	\$ 2.84	0.9730
	TUOS	\$ 0.44	0.7210
	NUOS	\$ 3.28	1.6940

Notes on Table of Network Prices For Franchise Customers

1. Franchise refers to SAC (<100 MWh) and those customers within either the CAC or SAC (>100 MWh) class who have elected to remain on the franchise rates.
2. The above network prices are applied to customers who are currently on all franchise tariff except for those customers with site specific prices.
3. Increases in network prices for franchise customers are not constrained under the QCA's 2005 Electricity Distribution Final Determination. As a result, due care should be exercised in using 2006/07 tariff levels as a guide to the levels likely to be applied in 2007/08.
4. ENERGEX will continue to refine its network price structure leading up to the introduction of FRC on 1 July 2007. ENERGEX anticipates that the scope and composition of the network prices that will apply to all contestable customers may well differ from those shown above.
5. T31 represents the off-peak hot water tariff.
6. T33 represents the controlled hot water tariff.
7. Unmetered supplies will be charged at the LV Energy (0-10kVA) rate.